



INFLATION

Use what you've learned about **INFLATION** to answer the questions below.

PART A

Define **INFLATION**.

The general rising of prices in a market or aggregate economy over time.

How does inflation affect consumer **PURCHASING POWER**? Explain.

Inflation diminishes or decreases consumer purchasing power. When prices rise, consumer income becomes less valuable, and every dollar buys fewer goods services. When things become more expensive, consumers have a more difficult time buying what they need and want because their dollars are worth less.

Define **DEFLATION**.

The general decrease of prices in a market or aggregate economy over time.

Define and explain each of the three **CAUSES OF INFLATION**.

QUANTITY THEORY *Inflation*

The aggregate rising of prices caused by the government printing excessive amounts of currency. With too much currency in supply, it loses value, causing prices to rise to adjust.

DEMAND-PULL *Inflation*

The aggregate rising of prices caused by excessive consumer demand in the economy. With so many consumers chasing the same quantity supplied, prices rise in order to obtain goods and services.

COST-PUSH *Inflation*

The aggregate rising of prices caused by an increase in input prices. With factors of production becoming more expensive, there are fewer economic goods produced, making them more expensive.

Define **HYPERINFLATION**.

Hyperinflation occurs when an economy experiences 200% inflation or more in one fiscal year (4 quarters or 12 months). Hyperinflation dramatically reduces consumer purchasing power and causes the value of currency to plummet.

What is the **WAGE-PRICE SPIRAL**? If left unchecked, what will eventually happen to the economy?

The wage-price spiral is the never-ending cycle of inflation in both the product and factor markets. When prices rise in the product market, workers will demand a increase in their wages to compensate. When wages rise, it causes cost-push inflation, leading to another request for higher wages. The cost-push inflation cycle continues. If left unchecked, it can lead to hyperinflation and an overheating economy.

CALCULATING

THE

INFLATION Rate

PART B

The **INFLATION RATE** is the percentage change in aggregate price level across an entire economy in one year. Calculating the inflation rate requires economists to compare the **MARKET BASKET** of an economy from one year to another. Use the data below to calculate the market basket of each economy for the years listed, and then calculate the inflation or deflation rate year by year.

UNITED STATES MARKET BASKET - 2015

	Beef	Milk	Bread
PRICE	\$3	\$3	\$2
QUANTITY	20,000	10,000	5000
TOTAL	\$60,000	\$30,000	\$10,000

UNITED STATES MARKET BASKET - 2016

	Beef	Milk	Bread
PRICE	\$4	\$4	\$3
QUANTITY	20,000	10,000	5000
TOTAL	\$80,000	\$40,000	\$15,000

FRANCE MARKET BASKET - 2015

	Bread	Butter	Grapes
PRICE	\$2.50	\$5	\$2
QUANTITY	40,000	10,000	50,000
TOTAL	\$100,000	\$50,000	\$100,000

FRANCE STATES MARKET BASKET - 2016

	Bread	Butter	Grapes
PRICE	\$2	\$4.50	\$1.50
QUANTITY	40,000	10,000	50,000
TOTAL	\$80,000	\$45,000	\$75,000

REMEMBER!

$$I.R. = \frac{MB \text{ NOW} - MB \text{ Y1}}{MB \text{ Y1}}$$



2015 Market Basket \$100,000

2016 Market Basket \$135,000

2016 Inflation/Deflation Rate +35%



2015 Market Basket \$250,000

2016 Market Basket \$200,000

2016 Inflation/Deflation Rate -20%

CALCULATING

THE

INFLATION Rate

PART B

BRAZIL MARKET BASKET - 2015

	Bananas	Coffee	Milk
PRICE	\$2	\$3.50	\$3
QUANTITY	10,000	20,000	20,000
TOTAL	\$20,000	\$70,000	\$60,000

BRAZIL MARKET BASKET - 2016

	Bananas	Coffee	Milk
PRICE	\$2.25	\$3.50	\$3.25
QUANTITY	10,000	20,000	20,000
TOTAL	\$22,500	\$70,000	\$65,000

REMEMBER!

$$I.R. = \frac{MB \text{ NOW} - MB \text{ Y1}}{MB \text{ Y1}}$$



2015 Market Basket \$150,000

2016 Market Basket \$157,500

2016 Inflation/Deflation Rate +5%

ITALY MARKET BASKET - 2015

	Tomatoes	Bread	Grapes
PRICE	\$2	\$3	\$2.50
QUANTITY	50,000	50,000	50,000
TOTAL	\$100,000	\$150,000	\$125,000

ITALY MARKET BASKET - 2016

	Tomatoes	Bread	Grapes
PRICE	\$1.50	\$3.50	\$2.50
QUANTITY	50,000	50,000	50,000
TOTAL	\$75,000	\$175,000	\$125,000



2015 Market Basket \$375,000

2016 Market Basket \$375,000

2016 Inflation/Deflation Rate 0%



INVESTIGATING

THE EFFECTS OF INFLATION

PART C

Inflation **HURTS** some in the economy and **HELPS** others. Read each description below and determine whether each participant is **HURT**, **HELPED**, or **UNAFFECTED** by **UNANTICIPATED INFLATION**. Then, **EXPLAIN** your conclusion.

1. A FIRM THAT EXPERIENCES A HIGHER INFLATION RATE IN THE FACTOR MARKET THAN THE PRODUCT MARKET. HURT
EXPLAIN: The firm's costs are rising at a higher rate than their revenue, so they are in danger of taking losses.
2. A CONSUMER WHO TAKES OUT A LOAN AT A FIXED INTEREST RATE. HELPED
EXPLAIN: The lender is paying back the loan without having to increase his monthly payments, meaning his money will go further and the loan will be easier to pay back over time.
3. A WORKER WHOSE NOMINAL WAGES REMAIN STAGNANT OVER ONE YEAR. HURT
EXPLAIN: The worker does not receive more income as prices increase, so every dollar she earns buys fewer goods and services, making harder for her to meet her needs and wants.
4. A STUDENT WHO LENDS HIS FRIEND \$10 TO BUY LUNCH. HURT
EXPLAIN: As the student's money waits to be paid back, inflation diminishes the purchasing power of every dollar, meaning when he is paid back, his money will be worth less than when he lent it out.
5. A RETIRED COUPLE WHO LIVE ON A FIXED INCOME. HURT
EXPLAIN: As prices rise, this couple's fixed income is worth less and buys fewer goods and services to meet their needs and wants. This makes it harder for them to live day by day.
6. A TEACHER WHO HAS A CONTRACTED SALARY WITH A "COST OF LIVING" ADJUSTMENT. UNAFFECTED
EXPLAIN: The teacher's salary will automatically be adjusted to match inflation, which ensures that he maintains his purchasing power, and he therefore has the income to offset inflation.
7. FIRMS DURING WORLD WAR II, AFTER THE GOVERNMENT ENACTED A WAGE-FREEZE. HELPED
EXPLAIN: Firms across the economy will see their costs stay the same as their revenues rise with inflation, ensuring that they make greater profits.
8. A GROCERY WORKER WHOSE NOMINAL WAGES ADJUST TO MATCH INFLATION. UNAFFECTED
EXPLAIN: The worker's salary will automatically be adjusted to match inflation, which ensures that she maintains her purchasing power, and she therefore has the income to offset inflation.
9. A HOME BUYER WHO TAKES OUT A LOAN AT AN ADJUSTABLE INTEREST RATE. HURT
EXPLAIN: As prices rise, the bank will raise the lender's interest rate to adjust for inflation, but it will raise the rate above the inflation rate to make profits, hurting the lender's purchasing power.
10. AN INVESTOR WHO BUYS A U.S. TREASURY BOND AT A FIXED INTEREST RATE OF 5% ANNUALLY. HURT
EXPLAIN: The investor's money will begin to lose purchasing power once inflation rises higher than 5%, meaning the money will lose value as inflation continues to rise above the bond's interest rate.